

are part of the relevant indices and comparisons are only there because they did well and the funds that did not do well are either out of business or too small to be part of the indices, and that this effect makes the indices have a positive bias. This is of course a factor, much the same way as a stock can be knocked out of the S&P 500 Index after it had a bad performance and its market capitalisation shrunk. Survival bias is a fact of life with all indices and it makes them all look a little better than reality would dictate. This is not a problem specific to the asset class. Anyhow, the arguments made in this book regarding the performance of diversified futures strategies are not dependent on the performance of indices; the comparisons asset managers included consist of a broad range of big players, some of which had some really difficult periods in their track records. There are some excellent aspects of these strategies and there are some serious pitfalls and potential problems that you need to be aware of. I deal with all of these in this book and have no intention of painting a rosier picture of the real situation than my experience reflects. Doing so would be both counterproductive and also, quite frankly, unnecessary.

Another common argument is that the high leverage makes the strategy too risky. This is mostly based on a lack of understanding of the two concepts of leverage and risk, which are not necessarily related. Defining leverage is a tricky thing when you are dealing with cross-asset futures strategies and simply adding up notional contract values and dividing with the capital base simply does not cut it. As I demonstrate and explain further on, having a million pounds' worth of exposure to gold and having a million pounds' worth of exposure to the Euribor are a world apart in terms of actual risk. While gold often moves several per cent in a day, a normal move in the Euribor would be a couple of basis points. Certainly, these futures strategies may have quite high notional contract exposures but don't go confusing that with risk. To be sure, these strategies can be risky, but buying and holding a portfolio of stocks are not necessarily less risky.

Most trend-following futures strategies will need to sell short quite often, and often as much as you buy long. Critics would highlight that when you are short you have an unlimited potential risk, which again is a misunderstanding of how markets work. Just as with equities, you risk losing what you put on the table but not more than that. While the pay-out diagram for a futures contract in theory has an unlimited loss, unless you have an unlimited amount of margin capital in your account, this is simply not the case in reality. In my experience, it is harder to trade on the short side than the long side, but that does not necessarily make it riskier, in particular when done in